



Policy on Determination of Group Companies, Material Creditors & Material Litigation

SEBI (LODR) Regulations, 2015 & applicable disclosure requirements

1. Preamble and Purpose

MRC Agrotech Limited (the “Company”) is a listed entity whose equity shares are listed on BSE Limited. In the interest of transparency and good corporate governance, and to ensure timely and accurate disclosures, the Board of Directors (the “Board”) has framed and adopted this Policy on Determination of Group Companies, Material Creditors and Material Litigation (this “Policy”).

This Policy lays down the criteria for the determination of “Group Companies”, “Material Creditors” and “Material Litigation” for the purposes of disclosures and compliance under applicable laws, including the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “Listing Regulations”), the Companies Act, 2013 (the “Act”) and, where relevant, the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018.

2. Definitions

“**Associate**” shall have the meaning assigned to it under the Act and the applicable accounting standards.

“**Promoter and Promoter Group**” shall have the meanings respectively assigned to them under the Listing Regulations and the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018.

“**Related Party**” shall have the meaning assigned to it under Section 2(76) of the Act and Regulation 2(1)(zb) of the Listing Regulations, read with the Company’s Policy on Related Party Transactions.

3. Determination of Group Companies

A company, body corporate or entity shall be considered a “Group Company” of the Company if it falls within any of the following categories:

1. entities that are members of the promoter group and/or the promoter of the Company;
2. companies (other than the promoter and subsidiaries) with which the Company has entered into one or more related party transactions, individually or in the aggregate during a financial year, that are material in terms of the Company’s Policy on Related Party Transactions;
3. companies which are considered material by the Board on the basis of the nature and extent of the relationship, and the interests of the Company and its stakeholders; and
4. such other entities as are required to be disclosed as group companies under the applicable accounting standards or applicable law.

The Board may, on a case-to-case basis and on the recommendation of the management, consider whether any additional company should be regarded as a Group Company for the purposes of this Policy.

4. Determination of Material Creditors

A creditor of the Company shall be considered a “Material Creditor” if the amounts due to such creditor exceed five per cent (5%) of the total trade payables of the Company as per the latest audited standalone financial statements of

(Formerly known as MRC Exim Ltd.)



the Company.

The Company shall maintain a list of its Material Creditors and shall make such disclosures in respect of dues to Material Creditors, including any default in payment thereof, as may be required under the Listing Regulations and other applicable law. Any default in the payment of dues to a Material Creditor shall be dealt with in accordance with the Company's Policy for Determination of Materiality of Events or Information.

5. Determination of Material Litigation

Litigation, legal proceedings, disputes, claims, show-cause notices or regulatory or governmental actions involving the Company, its directors, its promoters or its subsidiaries shall be considered "Material Litigation" if:

1. the monetary amount of the claim or proceeding, individually, exceeds the lower of (a) two per cent (2%) of the turnover, (b) two per cent (2%) of the net worth, or (c) five per cent (5%) of the average of the absolute value of profit or loss after tax, of the Company as per the last audited consolidated financial statements of the Company; or
2. the litigation or proceeding, although not quantifiable in monetary terms, is such that its outcome is likely to have a material bearing on the business, operations, performance, prospects, reputation or financial position of the Company.

In assessing the materiality of any litigation, the Board and the management shall also have regard to any criminal proceedings, proceedings involving allegations of fraud, economic offences, or actions by any regulatory or statutory authority, irrespective of the monetary amount involved.

6. Disclosure and Responsibility

Disclosures in respect of Group Companies, Material Creditors and Material Litigation shall be made to the stock exchange(s), in the offer documents (where applicable) and in the periodic filings of the Company, to the extent and within the timelines required under applicable law. The Company Secretary & Compliance Officer shall be responsible for administering this Policy and for making the necessary disclosures.

7. Review, Interpretation and Amendment

This Policy shall be reviewed by the Board as and when required to align it with amendments in applicable law. In cases of ambiguity or where the materiality of a particular entity, creditor or proceeding is not clear, the decision of the Board shall be final. Any subsequent amendment or modification in the applicable law shall automatically apply to this Policy and shall be deemed to be incorporated herein to the extent of any inconsistency.

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